

Paradiem

The Morning Brief

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Refinery Hit

A Houthi drone strike on Saudi Aramco's Jazan refinery and a fresh six-point Iranian demand list on Hormuz frame a heavier crude tape into CPI Wednesday.

S&P 500 (FRI CLOSE)	S&P FUTURES (SUN)	WTI (SUN SESS)	BITCOIN (LIVE)	FEAR & GREED (CNN)
\$773.26 · ↑0.61%	↓0.10% · Iran overhang	Modestly higher · ~1% Sun	Above \$65,000 · per CoinDesk	64 · Greed (Aug 7)

SECTION 01

Markets — Jazan Refinery Strike Reshapes the Monday Open

SUNDAY TAPE DIGESTS A REAL REFINERY HIT

Sunday delivered a direct physical hit on Saudi downstream infrastructure. Per Reuters, Al Jazeera, and NPR coverage, Houthi forces claimed a drone strike on Saudi Aramco’s Jazan refinery in southwestern Saudi Arabia; Aramco confirmed the fire was extinguished with no injuries reported. The Jazan complex processes 400,000 barrels per day per Aramco disclosures cited by Reuters. Sunday evening tape reflected the escalation: per Yahoo Finance and CNBC coverage of the overnight session, S&P 500 futures were modestly lower into the Monday open on Iran-related overhang, while WTI and Brent crude spot were modestly higher on the Sunday session per Reuters coverage of the tape. Asian equities held modestly bid overnight per Yahoo coverage — Nikkei +0.54%, Kospi +0.53%, ASX/200 +0.54% — a divergence between the Middle East escalation vector and the regional risk read.

S&P 500 (SPY FRI)	\$773.26 · ↑0.61% Fri
S&P FUTURES (SUN)	↓0.10% · overnight
WTI SPOT (SUN SESS)	Modestly higher · ~1% Sun
NIKKEI 225 (OPEN)	↑0.54%
KOSPI (OPEN)	↑0.53%
BITCOIN (LIVE)	Above \$65,000 · per CoinDesk
JULY CPI	Wed Aug 12 · 8:30 AM ET per BLS

CPI WEDNESDAY SITS ON TOP OF AN ELEVATED CRUDE PRINT

The July CPI print lands Wednesday, August 12 at 8:30 AM ET per BLS release calendar, and it lands into an oil complex that is materially higher than the pre-Hormuz baseline and has now absorbed a discrete refining hit at Jazan. Per CBS and

CNBC coverage of the post-NFP re-price captured in prior briefs, CME FedWatch September Fed hike odds sit near 44% and October near 55%. The composition of the CPI print — whether the crude-driven services and energy pass-through vector shows up in core or remains contained — will carry more weight into the September conversation than a similar print would have last month. A hotter core reading against a compressed vol backdrop (UVXY at \$21.62 per data drop) would have more room to reprice than a cooler print would have room to consolidate. Note: the data drop’s Fear & Greed reading fell back to the crypto index (30 · Fear); the snapshot references CNN’s stock-market Fear & Greed of 64 (Greed) as of the Friday, August 7 reading per CNN, consistent with an equity tape at record highs. The FCI dividend sleeve retains higher-duration positioning through NEE, ATO, and

CEG; the AI-power thesis retains the equity beta to the front-end conversation.

A refinery strike on the Sunday tape ahead of a CPI print with vol compressed is an asymmetric setup, not a balanced one. Avoid erosion.

SECTION 02

Geopolitics — Jazan Strike, Iran's Six Demands, and a Public Trump–Netanyahu Split

HOUTHİ DRONE HITS ARAMCO'S JAZAN REFINERY — FIRE EXTINGUISHED, NO INJURIES

Per Reuters, Al Jazeera, NPR, and Al Arabiya coverage of the Sunday statement, Houthi forces claimed a drone strike on Saudi Aramco's Jazan refinery in southwestern Saudi Arabia, framing the strike as retaliation for Saudi drone incursions into Saada and Hajjah governorates. Per Aramco disclosures cited by Reuters, the fire was extinguished by industrial security firefighting teams with no injuries reported at the 400,000 barrel-per-day facility. Simultaneous Houthi attacks per NBC coverage struck the Yemeni Red Sea port at Mokha, killing seven and wounding thirty per Yemeni military statements captured in the data drop headlines. The Jazan strike arrives two days after the Saudi–Turkey–Pakistan Mecca defence pact and against the backdrop of unresolved Hormuz negotiations, materially extending the Yemen-theater risk perimeter into Saudi refining capacity. For the FCI energy sleeve (CVX, CNX, OKE), the strike introduces a discrete supply-side variable that is distinct from the Hormuz transit friction that has framed the crude tape since late February.

IRAN PUBLISHES A SIX-POINT DEMAND LIST ON HORMUZ REOPENING

Per Reuters coverage captured in the data drop and CNN coverage of the Saturday statement from Iran's Supreme National Security Council, Tehran published a formal six-point list of preconditions for reopening the Strait of Hormuz: end threats against Iran's Supreme Leader, halt US military action against Iran and its regional allies, withdraw US naval and air forces enforcing the blockade, compensate for war damages, lift US sanctions, and release frozen Iranian assets. The publication converts what had been a corridor-construction negotiation with Oman into a broader precondition framework. Per Reuters coverage of the Sunday oil tape, the framing pushed crude modestly higher on the sense that a rapid reopening is now unlikely. For FCI positioning, the six-point list re-anchors the Hormuz analytical framework: prior briefs had characterized the Iran–Oman corridor as leaving physical friction intact; the six-point list suggests the friction is now the intended state, not a rollout artifact.

NETANYAHU PUBLICLY REJECTS TRUMP'S 15-POINT GAZA PLAN

Per CNBC, NBC News, Washington Post, and Reuters coverage captured in the data drop, Israeli Prime Minister Netanyahu on Sunday publicly rejected Trump's Board of Peace 15-point plan for Gaza, framing his objection around the disarmament sequence: Israel does not withdraw before Hamas surrenders heavy and light weaponry, and Netanyahu emphasized that only genuine disarmament, not partial or symbolic surrender of arms, would meet the precondition per NBC coverage. Per CNN analysis, Netanyahu is caught between far-right coalition ministers angered by prior concessions and his primary military backer, Trump, ahead of an October 27 election. If taken at face value, the public rejection introduces visible daylight between the White House and the Netanyahu government on the terms of a Gaza framework. For the FCI defense sleeve (LMT, GD), a stalled Gaza framework combined with the Pentagon's Wednesday memo demanding accelerated munitions production sup-

ports the long-cycle order-flow directional read, though specific procurement composition remains undisclosed.

SECTION 03

On Our Radar

1. CPI Wednesday, PPI Thursday, Retail Sales Friday — Data Load Meets Elevated Crude. The macro window this week is anchored by July CPI Wednesday, August 12 at 8:30 AM ET per BLS release calendar, followed by PPI Thursday and Retail Sales, Industrial Production, and preliminary Consumer Sentiment Friday. Corporate earnings pick up mid-week with Cisco (CSCO) after the close Wednesday, August 12 per Alphastreet coverage (consensus ~\$1.17 EPS, ~\$16.83B revenue), and Applied Materials and Deere later in the week. Per CBS and CNBC coverage captured in prior briefs, CME FedWatch September Fed hike odds sit near 44% and October near 55%; the CPI print will be the single largest input into whether the labor-softening thesis or the crude-driven services vector carries greater weight into the September meeting. Composition matters more than the headline print — specifically whether energy pass-through appears in services ex-energy.

2. Pentagon's 21-Day Deadline to Defense Contractors. Per Washington Post, Fortune, and CNBC coverage of Deputy Defense Secretary Steve Feinberg's Wednesday memo, defense industry leaders have been given no more than 21 days to submit accelerated production plans for critical munitions capabilities, with Feinberg framing multi-year development cycles as unacceptable for the current stockpile posture. Per the Washington Post citing Pentagon figures, the Patriot interceptor stockpile has fallen from 2,330 pre-war to approximately 759–827 following recent fighting — a decline of at least 65%. Pentagon spokesman Parnell affirmed the memo would inform the FY2028 budget submission. For the FCI defense sleeve (LMT, GD), the memo formalizes a structural production-cycle catalyst distinct from the individual contract wins that had characterized the sleeve's recent tape (including GD's \$1.3B cybersecurity contract per Yahoo coverage). Specific procurement composition remains undisclosed, but the directional read on long-cycle order flow is supported.

3. Bitcoin ETF Inflows Extend as CLARITY Act Stalls in the Senate. Per CoinDesk coverage of the overnight tape, Bitcoin held above \$65,000 on Sunday per CoinDesk, with Bitcoin ETF net inflows of approximately \$853M last week per the same coverage, with BlackRock's IBIT capturing the bulk of the flow. The bullish flow tape sits alongside a policy overhang: per CoinDesk and Cointelegraph coverage, Senate Majority Leader Thune filed cloture on the CLARITY Act on August 8 ahead of the chamber's August recess, setting up a motion-to-proceed vote scheduled for September 15; the 60-vote cloture threshold remains uncertain. For FCI digital-asset positioning through IBIT and ETHA, the inflow persistence remains the dominant read despite the policy delay; for the FCI mining exposure (MARA, HUT), the bifurcation flagged in prior briefs — ETF inflows continuing while miners drift lower per data drop (MARA ↓5.26% Friday, HUT ↓2.27%) — remains the read into the Monday open.

4. Sector Rotation Read from Friday Confirms the AI-Power Complex. Friday's FCI top movers per data drop — CRDO +8.45%, AEM +6.49%, NOW +6.42%, QCOM +4.66%, MRVL +3.89% — capture two of the three primary FCI thesis vectors: the AI-interconnect and AI-power complex (CRDO, NOW, QCOM, MRVL) and the precious-metals leadership (AEM). The XLK +1.42% and XLY +1.49% sector prints per data drop confirm the tech-consumer risk-on read Friday, while XLE –1.13% underscores that the equity market treated the labor-softening thesis as dominant over the geopolitical inflation thesis on the Friday tape. The Sunday-into-Monday setup tests whether that hierarchy holds when a real refinery hit and a formal six-point Iran demand list re-enter the top of the tape, or whether the crude-driven services vector reasserts.

5. Carson's SPY \$645.80 Support Remains Active. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Friday's \$769.61–\$773.91 S&P 500 intraday range and now sits approximately 16.5% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With the Jazan strike introducing an upstream supply-side variable, Iran's six-point demand list re-anchoring the Hormuz framework, CPI landing Wednesday, and Netanyahu publicly rejecting Trump's Gaza plan, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any Monday-week gap.

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